Manual on Making the Best Decisions

By Dr. Gleb Tsipursky, CEO

Disaster Avoidance Experts

Empowering leaders
and organizations to
avoid business disasters

Description

This manual describes a technique to empower you to make the best major decisions as a leader, either for your organization or your career. It's informed by cutting-edge research in cognitive neuroscience and behavioral economics along with extensive case studies from pragmatic day-to-day leadership contexts. This technique should be used before making any critical decisions. It can be done on your own or with a team. If done with a team, it should involve all relevant stakeholders, or representatives of all relevant stakeholders. If you are doing this technique yourself for an individual decision, consider showing it to an objective and trusted adviser to get their external perspective on whether you actually addressed all the salient issues.

About The Author

An internationally-renowned thought leader known as the Disaster Avoidance Expert, Dr. Gleb Tsipursky is on a mission to protect leaders from dangerous judgment errors known as cognitive biases by developing the most effective decision-making strategies. A best-selling author, he wrote *Never Go With Your Gut: How Pioneering Leaders Make the Best Decisions and Avoid Business Disasters* (Career Press, 2019), *The Blindspots Between Us: How to Overcome Unconscious Cognitive Bias and Build Better Relationships* (New Harbinger, 2020), and *Resilience: Adapt and Plan for the New Abnormal of the COVID-19 Coronavirus Pandemic* (Changemakers Books, 2020). He has over 550 articles and 450 interviews in *Inc. Magazine*, *Entrepreneur*, *CBS News*, *Time*, *Business Insider*, *Government Executive*, *The Chronicle of Philanthropy*, *Fast Company*, and elsewhere. His expertise comes from over 20 years of consulting, coaching, and speaking and training as the CEO of Disaster Avoidance Experts, and over 15 years in academia as a behavioral economist and cognitive neuroscientist. Contact him at Gleb@DisasterAvoidanceExperts.com, Twitter @gleb_tsipursky, Instagram @dr_gleb_tsipursky, LinkedIn, and register for his free Wise Decision Maker Course.

About Disaster Avoidance Experts

Disaster Avoidance Experts is a boutique consulting and training firm that empowers leaders and organizations to avoid business disasters by using cutting-edge research to help them address potential threats, seize unexpected opportunities, and resolve persistent personnel problems. We dramatically improve the bottom line of our clients, which range from mid-size businesses and nonprofits to Fortune 500 companies.

Email: info@disasteravoidanceexperts.com
Phone: 614-733-9771
Website: www.disasteravoidanceexperts.com

8 Steps for the Making the Best Decisions Technique

Step 1: Determine That a Decision Needs to Be Made

Identify the need to launch a decision-making process. Such recognition bears particular weight when there's no explicit crisis that cries out for a decision to be made or when your natural intuitions make it uncomfortable to acknowledge the need for a tough decision. The best decision makers take initiative to recognize the need for decisions before they become an emergency and don't let gut reactions cloud their decision-making capacity.

Step 2: Gather Relevant Information

Gather relevant information from a wide variety of informed perspectives on the issue at hand. Value especially those opinions with which you disagree. Contradicting perspectives empower you to distance yourself from the comfortable reliance on your gut instincts and help you recognize any potential bias blind spots.

Step 3: Decide on Specific Goals and Outcomes You Want to Achieve

Decide on the goals you want to reach, painting a clear vision of the desired outcome of your decision-making process. It's particularly important to recognize when a seemingly one-time decision is a symptom of an underlying issue with processes or practices. Make addressing these root problems part of the outcome you want to achieve.

Step 4: Develop Clear Decision-Making Criteria to Evaluate Options

Develop clear decision-making criteria to weigh the various options of how you'd like to achieve your vision. If at all possible, develop these criteria before you start to consider your options. Our intuitions bias our decision-making criteria to encourage certain outcomes that fit our instincts. As a result, you get overall worse decisions if you don't develop criteria before starting to look at options. Rank the importance of each criterion on a scale of 1 (low) to 10 (high).

Step 5: Generate Viable Options

Generate a number of viable options that can achieve the goals of your decision-making process. We frequently fall into the trap of not generating enough options to make the best decisions, especially for resolving underlying challenges. To address this, it's very important to generate many more options than what we intuitively feel is necessary. Aim to come up with at least 5 attractive options. Remember that this is a brainstorming step, so don't judge options, even though they might seem outlandish or politically unacceptable. In my consulting and coaching experience, the optimal choice often involves elements drawn from out-of-the-box and innovative options.

Step 6: Weigh Your Options and Pick the Best One

Weigh these options and pick the best of the bunch. When weighing options, beware of going with your initial preferences and do your best to see your own preferred choice in a harsh light. Moreover, do your best to evaluate each option separately from your opinion of the person who proposed it, to minimize the impact of personalities, relationships, and internal politics on the decision itself. If you get stuck here, or if this is a particularly vital or really complex decision, use the Avoiding Disastrous Decisions technique to maximize your likelihood of picking the best option.

Step 7: Implement the Option You Selected

Implement the option you selected. For implementing the decision, you need to minimize risks and maximize rewards, since your goal is to get a decision outcome that's as good as possible. First, imagine the decision completely fails. Then, brainstorm about all the problems that led to this failure. Next, consider how you might solve these problems, and integrate the solutions into your implementation plan. Then, imagine the decision absolutely succeeded. Brainstorm all the reasons for success, consider how you can bring these reasons into life, and integrate what you learned into implementing the decisions. If you're doing this as part of a team, ensure clear accountability and communication around the decision's enactment. For projects that are either complex, long-term, or major, I recommend using the Failure-Proofing technique to notice and address potential threats and to recognize and seize potential opportunities. That technique defends you from disasters in implementing your choices and optimizes the likelihood of you outperforming your own and others' expectations.

Step 8: Evaluate Implementation and Revise as Needed

Evaluate the implementation of the decision and revise as needed. As part of your implementation plan, develop clear metrics of success that you can measure throughout the implementation process. Check in regularly to ensure the implementation is meeting or exceeding its success metrics. If it's not, revise the implementation as needed. Sometimes, you'll realize you need to revise the original decision as well, and that's fine, just go back to the step that you need to revise and proceed from that step again. More broadly, you'll often find yourself going back and forth among these steps. Doing so is an inherent part of making a significant decision, and does not indicate a problem in your process. For example, say you're at the option-generation stage, and you discover relevant new information. You might need to go back and revise the goals and criteria stages.

Two Case Studies Illustrating the Steps in the "Making the Best Decisions" Technique

Step 1

Case Study A

Due to the devastating impact of the COVID-19 pandemic on the restaurant industry, the Chief Operating Officer (COO) in a regional chain of 24 diners in the Northeast US wanted to explore whether she should switch to a different industry. Her chain had switched to a takeout model, but faced mounting losses. The US government bailout, she thought, might not save the chain if the pandemic lasted for more than a few months. She turned to me (the author of the manual) as her executive coach and asked for guidance. She felt worried about the very high probability of having to shift to a lower-ranking role in order to get into a new industry, but also worried about her future if she stuck to the restaurant industry. I recommended this exercise and coached her through the steps.

Case Study B

A cybersecurity company of 170 people wanted to build up its artificial intelligence (AI) and machine learning (ML) capacity to improve its cybersecurity offerings in response to competitors who were doing so. The CEO and his leadership team wanted to catch up to the company's competitors and ideally overtake them, especially since the company had started losing clients to these competitors. Having attended a training with me (the author of the manual), the CEO asked me to work with him and his leadership team to use this technique to make the best decision on the company's options.

Step 2

Case Study A

I asked the COO to gather information from a wide variety of people with relevant perspectives. They included professional colleagues and mentors in the restaurant industry; contacts in other industries such as vendors to her restaurant chain; experts on the pandemic; and family members impacted by her potential switch, especially her stay-at-home husband who took care of their kids. In particular, I urged her to include input from executives in her network who shifted to another industry, both those who made the switch successfully and those who did not. Likewise, I encouraged her to have a serious conversation with her accountant on her financial capacity to bear a job search that might take a long time, given the tribulations and uncertainty caused by the pandemic.

Case Study B

The CEO and his senior management team gathered information from key people with diverse perspectives. These included senior software engineers and team leaders in the company, a few AI and ML vendors that the company had worked with briefly, and some thought leaders in the cybersecurity industry who had AI and ML expertise. They also examined the offerings of their competitors who were in the lead on integrating AI and ML into their cybersecurity offerings and talked to some clients who were using the services of those companies. The company's CFO was asked for a frank assessment of the company's financial health before undertaking such a critical project. Fortunately, the company's past successes enabled it to have a good financial cushion for this major effort.

Step 3

Case Study A

I asked the COO to come up with a list of critical goals that would address both explicit and underlying issues. Among the goals identified were:

- Within one year, have a role that would pay at least 75% of the salary that she was getting as COO of the restaurant chain, whether by staying at the chain or switching to another industry
- Substantial room for career growth

One underlying issue that the COO identified is that while she favored innovation in business, she was often at loggerheads with several key stakeholders in her current company who didn't want to deviate from traditional business methods. She was hoping that in shifting to a different industry and company, she would be able to address this issue as well, so an additional goal was to enable her to satisfy her passion for innovation.

Case Study B

With the data on hand, the CEO and the leadership team came up with two main goals, which were:

- Within 6 months, improve the company's cybersecurity offerings through integrating AI and ML in order to be recognized as comparable to three of their competitors who were on the cutting edge of the field
- Within 12 months, grow the company's customer base by at least 10% through a combination of better integrating AI and ML into their offerings and getting recognized by thought leaders for doing so

Step 4

Case Study A

The COO came up with a number of criteria relevant for the switch and ranked them on her priorities, with 1 at the low end and 10 at the high end:

- Salary in one year (8)
- Opportunity for innovation (5)
- Room for growth (6)
- Stability for both the industry and the company in the foreseeable medium and long-term future (7)
- Ease of transition (5)

Case Study B

The CEO and the leadership team came up with a number of criteria relevant for the change and ranked them on the company's priorities, with 1 at the low end and 10 at the high end:

- Quality of improvement in cybersecurity offerings (10)
- Reputational boost to company (10)
- Speed to implement (8)
- Ease of operation (6)
- Cost (6)

Step 5

Case Study A

Initially, the COO listed just one option for switching: it was obvious that she was already leaning towards the food delivery industry. However, I convinced her to add 3 more options so that she will have at least 5. She took a bit more time to deliberate and finally came up with 5 options:

- Stay in her current position
- Food delivery industry
- Meal kit industry
- Food processing industry
- Grocery store industry

Case Study B

The CEO and his senior management team brainstormed, then listed the following options:

- Wait out the situation and see which AI and ML trends emerge from the company's competitors to then invest into what seems like the best option
- Open a new unit inside the company to develop better AI and ML
- Collaborate with an established IT company specializing in AI and ML on a joint cybersecurity product
- Buy a startup doing AI and ML
- Make incremental investments into a few AI and ML upgrades

Step 6

Case Study A

At this point, the COO was still leaning towards her favored option, which was to shift to the food delivery industry. She informed me that some of her former colleagues were able to easily transition to this industry.

However, I cautioned her to consider and evaluate each option carefully and to separate each option from those who recommended it to her. I also urged her to factor in all the variables first, such as the fact that the grocery store industry was booming and will continue to do so.

So we reviewed the options together, and she ranked each option on all criteria. To do so, we made a table with options on the left and variables on the top. Then, after ranking each option on all criteria, we multiplied the ranking by the weight of the criteria.

	Salary (8)	**Innovation (5)**	**Room for growth (6)**	**Stability (7)**	**Ease of transition (5)**	**Total**
Current position	7	1	2	1	10	130
Food delivery industry	5	3	4	4	8	147
Meal kit industry	5	7	4	3	3	135
Food processing industry	6	2	5	5	3	138
Grocery store industry	8	5	9	8	5	224

She was very surprised to discover that the grocery store option proved much better than all the other ones, including her favored food delivery option. That’s because grocery stores were growing due to the pandemic and were hiring both workers and executives left and right.

Moreover, those with whom she spoke foresaw that the pandemic would lead to lasting changes in how people get food, with a much bigger emphasis on eating at home and much less on either restaurants or cafeterias in the workplace. Given that people had more time than before and looked for ways to occupy themselves, they also foresaw a shift away from delivery and meal kits, with more people spending their time cooking instead.

The grocery store industry thus offered much more room for growth, stability, and salary potential than the other fields she considered. Due to their extensive hiring, she judged it not too difficult to transition there. Due to the many options within grocery stores, they had significant room for innovation as well.

Case Study B

I sat down with the CEO and his team to review the options. We ranked them on all criteria using a table with options on the left and variables on the top. Then, after ranking each option, we multiplied the ranking by the weight of the criteria.

	Quality of improvement in offerings (10)	Reputational boost (10)	Speed (8)	Ease (6)	Cost (6)	Total
Wait and see which trends emerge	2	0	10	10	10	220
Open new internal unit	6	3	4	5	4	176
Collaborate with another company	9	9	8	8	3	316
Buy a startup	8	8	7	7	3	276
Make incremental investments into upgrades	5	5	5	6	6	212

The leadership team was surprised to see the "collaborate with another company" option score the highest. They had expected that opening a new unit would emerge as the best option, given their confidence about their own team's capabilities.

However, while they were ranking the options, it became obvious that it would take too much time and resources to build out a new unit considering that the goal was to improve the company's cybersecurity offerings to be on par with its competitors within six months' time. Moreover, opening a unit inside the company wouldn't help much with a reputational boost, at least not fast enough to contribute to the company's goals within 6-12 months.

It helped when I pointed out that excessive confidence about your company's internal capacities results from two cognitive biases. One is the overconfidence bias, referring to our tendency to express way too much confidence about our decisions. Another is the IKEA effect, assessing too highly projects and ideas that we ourselves invented. It's critically important to have an external perspective through an independent facilitator to address these and related cognitive biases.

Looking at how highly "collaborate with another company" scored, it was clear that this option addressed all of their initial goals. The CEO decided that they should collaborate with another company that specializes in AI and ML.

Step 7

Case Study A

I guided the COO through imagining a decision failure. The COO imagined that the switch to the grocery store industry failed because of three things:

- Lack of proper network within which to look for possible job opportunities
- Unwillingness to take on a role that is a step down in the organizational hierarchy
- Inflexible attitude when learning new things, brought about by years of calling the shots as COO

The COO realized that while she had an extensive network, most of the professional contacts she had cultivated were from the restaurant industry, so her network might not be adequate for job hunting. She also had some reservations about having to take a lower-ranking role, considering how hard and how long she had worked in order to become a COO. Finally, she contemplated how difficult it might be to have to relinquish being in the driver's seat and follow someone else's business strategy if she does step into a non-COO role.

The COO brainstormed possible solutions and decided on the following:

- Spend a month growing her network so that she could make new contacts and get to know key players in the grocery store industry.
- Get in touch with former colleagues and mentors who had stepped down from top leadership roles to get their advice and insight on what they learned from the experience.

- Upon landing a good role, focus on learning new skills, brushing up on old ones, and doing a deep dive to get to know the grocery food industry. This way, she could focus her attention on becoming a valuable member of senior management instead of dwelling on any "power limitations."

When she had finished imagining failure and brainstorming solutions, the COO proceeded to imagine that the decision to shift to a new role and industry was a success.

After thinking of potential reasons for this success, the COO determined that this was largely due to her efforts to efficiently transition to her new role and industry by building new core skills. Aside from this, she was also able to bring some of her unique skills from the restaurant industry to the grocery store industry, including:

- Knowing how to serve customers effectively through creating a positive customer experience
- Expertise in managing prepared food delivery, which is crucial given that grocery stores greatly expanded food delivery during the pandemic
- Extensive knowledge of supply chain operations, a strategic skill to have since the grocery store industry was facing supply chain disruptions due to the pandemic

To integrate these into her implementation plan, the COO made sure to highlight her expertise in her resume and cover letters. Even more importantly, she talked up her expertise to her contact network, given that the large majority of jobs are secured through networking, especially at her level. Finally, she and I practiced integrating these areas into her answers to sample interview questions.

Case Study B

I guided the leadership team through imagining a decision failure. They imagined that the decision to collaborate with another company with more expertise in AI and ML failed because they chose the wrong company to partner with. In its haste to meet the six-month timeline, the project team cast a very shallow net and didn't properly vet the prospective collaborators.

After identifying this potential problem, the CEO and his leadership team brainstormed on a possible solution. They eventually agreed to make a plan to be extremely meticulous when screening possible companies as collaborators. This plan included creating standard evaluation criteria, developing a shortlist of highly recommended AI and ML companies, and implementing a stringent pilot testing process.

After the CEO and his team finished imagining failure and brainstorming how to avoid it, they proceeded to imagining success.

The project team determined that the success of the project was due to several factors:

- Timely communication within the whole organization. Information regarding the decision, the steps to be taken, and short- and long-term plans were communicated in a top-down manner. Every member of the organization knew what to expect.
- Clear presentation of vision. The CEO was precise in presenting why the decision was made and how he sees it impacting and benefiting the organization. This encouraged the company's leaders and employees to also keep this vision in mind and carry it out when working on product fixes and enhancements for the long term.
- The stringent vetting process with AI and ML companies paid off. The project team found the most suitable organization to collaborate with - one that also shared their company's values - and the partnership proved highly strategic and productive.
- A strategic marketing plan. The project team made sure to get the word out about the company's new cybersecurity offerings. Networking with well-known and respected industry thought leaders also paid off as these thought leaders gave good endorsements as well.

To implement these success factors, the project team made a clear internal plan for communicating about the project, starting with the CEO's presentation of the vision and continuing down to every level of the organization. The Marketing VP took point on developing a strategic marketing plan, with the Sales VP and Product VP helping out with their contributions. The team felt that their vetting process had been stringent enough, and did not require any next steps.

Step 8

Case Study A

The COO was able to successfully shift industries. Within six weeks, she was hired as Senior Vice President of Prepared Foods at a large grocery chain. While it was a step down from her role as COO, she was able to get a compensation package that was 85% of what she received as COO at her former company, owing to the fact that she joined a much larger organization in a booming industry. I guided her through the implementation of her decision, where she set the following metrics of success:

- Expand her network and add a professional contact specifically from the grocery store industry every week
- Identify 4 core skills that she needed in order to thrive in her new role and industry, acquire or brush up on these skills, and check her progress every two weeks using specific benchmarks
- Identify at least 6 key people in her grocery store industry network and, if they are willing, consult or engage with them every two weeks on specific issues or matters concerning her new industry. This will run parallel with improving her 4 core skills, so that as she advances with each skill, she also gains additional insight through these 6 key resources.
- Develop mentors within this new industry. She was surprised to learn that the grocery store industry proved much more male dominated than the restaurant industry, making it harder for her to break into the inside cliques that determined power structures. At first, she wanted to seek out only fellow female executives as mentors. However, I pointed out that research clearly showed the importance of finding both

male and female mentors for career success. She eventually chose to do so, despite the discomfort she experienced.

Case Study B

The cybersecurity company was able to hit its 6-month deadline in collaborating with an AI and ML company and improving its cybersecurity product offerings. Although it wasn't widely recognized in the marketplace as equal to competitors, some thought leaders who closely evaluated cybersecurity services were starting to do so. The AI/ML partner company met all the stated criteria, and based on its performance it appeared that the partnership was heading into a long-term direction. At that 6-month stage, the leadership team and I met for a follow-up to develop the next set of metrics for success:

- Expand the company's customer base by 3% in Q3 and another 7% in Q4 based on the new offering, in order to hit the goal of expanding its client base 10% in 12 months
- Improve the existing customer retention rate by 30% or higher
- Develop a long-term plan with the chosen AI/ML company to map out additional product offerings, technical support, and major projects which would require intense collaboration

Final Thoughts

These 8 steps to effective decision-making can be applied to any area of life, professional or personal. It can be used by individuals, teams, organizations, and institutions. For any questions, or to get an experienced facilitator for this technique, please contact the author of this manual, Dr. Gleb Tsipursky, Gleb@DisasterAvoidanceExperts.com.

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